

Indian Economy

Sectors of the Economy

Exam: UPSC CSE (Prelims)

1. Primary Sector

Tier: tier3 • Weightage: 1.0 • Total Qs: 0 • PYQs: 4 • Year span: 2017–2024 • Model: gpt-4.1 • Updated: 2026-01-07 14:04

TopicDemandMap: Indian Economy > Sectors of the Economy > Primary Sector

Explicit Subtopics Tested

1. Classification of Economic Activities by Sector

- **Evidence:** 7233, 1186
- **Description:**
 - Understanding which activities (e.g., agriculture, dairy farming, mineral exploration, storage, weaving) belong to the primary, secondary, or tertiary sectors.
 - Distinguishing between sectoral classifications for both traditional and less obvious activities.
- **Type of Demand:**
 - Factual recall of sector definitions.
 - Application of definitions to classify real-world activities.

2. Key Commodities and Resources of the Primary Sector

- **Evidence:** 784
- **Description:**
 - Recognition of major commodities (e.g., crude oil) associated with the primary sector, including awareness of global terminology (e.g., "West Texas Intermediate").
- **Type of Demand:**
 - Factual identification of primary sector commodities.
 - Awareness of sector-specific terminology in current affairs.

3. Inputs Required for Primary vs. Non-Primary Activities

- **Evidence:** 7218

- **Description:**
- Comparative understanding of resource requirements (land, labour, capital, raw material) in farming (primary) versus non-farming (other sectors) activities.
- **Type of Demand:**
- Conceptual understanding of input intensity by sector.
- Application to distinguish sectoral characteristics.

Logical Study Sequence

1 Classification of Economic Activities by Sector

(Foundation for understanding what constitutes the primary sector)

1 Inputs Required for Primary vs. Non-Primary Activities

(Builds on classification to analyze sectoral characteristics)

1 Key Commodities and Resources of the Primary Sector

(Applies classification knowledge to real-world examples and current affairs)

Implicit Concepts / Prerequisites

- Definitions and distinctions among primary, secondary, and tertiary sectors.
- Examples of economic activities in each sector.
- Basic understanding of factors of production (land, labour, capital, raw material).
- Awareness of how sectoral classification relates to economic structure and development.
- Familiarity with current affairs terminology linked to the primary sector.

Adjacent Subtopics (Potential Future Demand)

- Sectoral contribution to GDP and employment in India.
- Trends and challenges in the primary sector (e.g., productivity, modernization).
- Government schemes and policies targeting the primary sector.
- Environmental impacts of primary sector activities.
- Linkages between primary and other sectors (e.g., supply chains, value addition).

Notes

- The PYQ count is limited (4), so subtopic granularity is constrained.

- All tested questions focus on sectoral classification, resource requirements, and commodity identification, with no direct testing of policy, trends, or sectoral performance.
- Adjacent subtopics are inferred based on logical progression from current PYQ patterns, not from direct evidence.

2. Industry Sector

Tier: tier2 • Weightage: 3.0 • Total Qs: 0 • PYQs: 37 • Year span: 1997–2023 • Model: gpt-4.1 • Updated: 2026-01-07 14:04

TopicDemandMap: Indian Economy > Sectors of the Economy > Industry Sector

Explicit Subtopics Tested (with Evidence)

1. Classification and Structure of Industries

- **Evidence:** 1353, 7229, 7232, 7222, 7217
- **Demand:** Understanding criteria for classifying industries (by size, ownership, capital, use-based categories), statistical standards (NIC), and types of capital.

2. Industrial Policy and Regulatory Framework

- **Evidence:** 7168, 1489, 2742, 7234, 7231, 2594
- **Demand:** Knowledge of industrial licensing, policy initiatives (e.g., corridors, zones), regulatory bodies (Competition Commission), and legal forms (LLP, Companies Act).

3. Small Scale and MSME Sector

- **Evidence:** 7164, 7221, 7227
- **Demand:** Features, importance, government support, and challenges of MSMEs and small-scale industries; role in employment, regional development, and inclusiveness.

4. Industrial Clusters and Locations

- **Evidence:** 7169, 7228
- **Demand:** Major industrial clusters, their significance, and key industry-location associations.

5. Major Industrial Sectors and Companies

- **Evidence:** 2131, 2349, 2441, 2453, 2045, 7219

- **Demand:** Key companies, industrial groups, sectoral leaders, and the concept of unicorn companies.

6. Core and Key Industries

- **Evidence:** 2747, 109, 7220
- **Demand:** Identification and weights of Eight Core Industries in IIP, their composition, and significance.

7. Industrial Production and Indexes

- **Evidence:** 7222, 7229
- **Demand:** Use-based classification in IIP, statistical standards, and base year revisions.

8. Industrial Resources and Inputs

- **Evidence:** 2639, 2792, 1786, 78, 1022, 689
- **Demand:** Knowledge of key industrial resources (coal, oil, minerals, water), their usage, import dependence, and sectoral consumption patterns.

9. Industrial Disputes and Labour

- **Evidence:** 972
- **Demand:** Agencies responsible for compiling industrial dispute data; basic awareness of industrial relations.

10. Quality, Standards, and Support Institutions

- **Evidence:** 465
- **Demand:** Role and structure of institutions like the Quality Council of India.

Logical Study Sequence

- 1 Classification and Structure of Industries
- 2 Industrial Policy and Regulatory Framework
- 3 Small Scale and MSME Sector
- 4 Industrial Clusters and Locations
- 5 Major Industrial Sectors and Companies

- 6 **Core and Key Industries**
- 7 **Industrial Production and Indexes**
- 8 **Industrial Resources and Inputs**
- 9 **Industrial Disputes and Labour**
- 10 **Quality, Standards, and Support Institutions**

Implicit Concepts / Prerequisites

- Basic economic concepts: capital, production, enterprise types
- Understanding of government policy mechanisms and regulatory bodies
- Familiarity with statistical indexes and their interpretation
- Geography of Indian industry and resources
- General awareness of current affairs related to industry (for company/sector questions)
- Knowledge of legal and institutional frameworks governing industry

Adjacent Subtopics (Potential Future Demand)

- Environmental impacts of industrialization and sustainable industrial practices
- Industrial finance and credit mechanisms (e.g., industrial banks, venture capital)
- Labour laws and industrial relations in greater detail
- Technological innovation and R&D in industry
- Industrial exports and integration with global value chains
- Sectoral deep-dives (e.g., textiles, pharmaceuticals, electronics manufacturing)
- Role of FDI and international trade agreements in industrial growth

Demand Type Summary (Pattern Notes)

- **Facts:** Locations, company-sector associations, definitions (e.g., unicorn, nominal capital), weights in indexes
- **Concepts:** Classification criteria, policy rationales, MSME features, regulatory frameworks
- **Application:** Policy implications, interpreting index data, matching organizations to functions, understanding sectoral challenges (e.g., import dependence)

- **Current Affairs:** Recent policy changes, new industrial corridors, updated statistical standards

Note: The above map is based strictly on the provided PYQs. Some subtopics (e.g., industrial finance, environmental aspects) are not directly evidenced but are logical adjacent areas for future UPSC demand. Where PYQs are broad or overlap, subtopics have been merged for clarity and reusability.

3. Services Sector

Tier: tier3 • Weightage: 1.0 • Total Qs: 0 • PYQs: 5 • Year span: 1999–2019 • Model: gpt-4.1 • Updated: 2026-01-07 14:05

TopicDemandMap: Indian Economy > Sectors of the Economy > Services Sector

Explicit Subtopics Tested

1. Definition and Scope of the Services Sector

- **Evidence:** [7226]
- **Demand Type:** Tests the ability to distinguish which economic activities are classified under the services sector versus other sectors (e.g., construction vs. transport, insurance, hotels).
- **Notes:** Requires conceptual clarity on sectoral classification as per Indian economic context.

2. Tourism Industry: Challenges and Infrastructure

- **Evidence:** [7165]
- **Demand Type:** Assesses knowledge of structural and infrastructural challenges facing the tourism segment within the services sector.
- **Notes:** Focuses on factors limiting sectoral growth, especially infrastructure.

3. Historical Development of Service Infrastructure

- **Evidence:** [2435]
- **Demand Type:** Tests awareness of key milestones in the development of service sector infrastructure (e.g., telegraph lines, export processing zones).
- **Notes:** Emphasizes historical firsts and their economic significance.

4. Legal and Regulatory Framework for Service Providers (Cyber Security)

- **Evidence:** [436]

- **Demand Type:** Evaluates understanding of legal obligations and regulatory requirements for various service sector entities regarding cyber security.
- **Notes:** Involves application of legal provisions to sectoral entities.

5. Regulation of Service Markets (Energy Sector Example)

- **Evidence:** [605]
- **Demand Type:** Tests knowledge of regulatory bodies, their functions, and appellate mechanisms in service sub-sectors (specifically energy/gas).
- **Notes:** Focuses on institutional framework and market regulation within services.

Logical Study Sequence

- 1 **Definition and Scope of the Services Sector** [7226]
- 2 **Historical Development of Service Infrastructure** [2435]
- 3 **Tourism Industry: Challenges and Infrastructure** [7165]
- 4 **Legal and Regulatory Framework for Service Providers (Cyber Security)** [436]
- 5 **Regulation of Service Markets (Energy Sector Example)** [605]

Implicit Concepts / Prerequisites

- Basic understanding of the three-sector model (primary, secondary, tertiary/services).
- Familiarity with economic classification of activities.
- Awareness of the role of infrastructure in sectoral development.
- Knowledge of regulatory institutions and their mandates.
- Understanding of legal compliance and reporting obligations for businesses.
- Concept of market regulation and competition in service industries.

Adjacent Subtopics (Potential Future Demand)

- Contribution of the services sector to GDP and employment.
- Growth trends and recent developments in major service sub-sectors (e.g., IT, finance, health).

- Impact of government policies and reforms on the services sector.
- International trade in services (e.g., India's position in global services exports).
- Service sector's role in inclusive growth and regional development.
- Digital services and emerging technologies (beyond cyber security).
- Public-private partnerships in service delivery.

Notes

- The PYQ set is small and covers a limited range of subtopics, mostly focusing on classification, infrastructure, regulatory/legal aspects, and specific service industries (tourism, energy).
- No direct PYQs on quantitative aspects (e.g., sectoral contribution to GDP), IT/financial services, or recent policy initiatives.
- Subtopic boundaries are drawn strictly from the evidence in the provided PYQs, as per instructions.

4. Public Infrastructure

Tier: tier2 • Weightage: 3.5 • Total Qs: 0 • PYQs: 16 • Year span: 1993–2024 • Model: gpt-4.1 • Updated: 2026-01-07 14:05

TopicDemandMap: Indian Economy > Sectors of the Economy > Public Infrastructure

Explicit Subtopics Tested (with Evidence)

1. Public Sector Undertakings (PSUs): Structure, Objectives, and Disinvestment

- **Evidence:** 7170, 1484, 1487, 2693
- **Demand Type:**
- Understanding forms and implications of privatization/disinvestment.
- Knowledge of major PSUs, their sectoral roles, and objectives.
- Awareness of government policy rationale regarding PSUs.

2. Infrastructure Project Identification and Features

- **Evidence:** 2457, 1172
- **Demand Type:**
- Recognition of major infrastructure projects (e.g., power, airports).

- Understanding of project characteristics (e.g., treaty compliance, greenfield status).
- Ability to distinguish between types of infrastructure development.

3. Energy Infrastructure: Sources, Statistics, and Policy Initiatives

- **Evidence:** 2392, 7236, 568, 985, 1051
- **Demand Type:**
- Knowledge of official data sources and publications.
- Awareness of energy efficiency schemes and renewable energy initiatives.
- Understanding of India's position in energy production and manufacturing.
- Identification of major energy projects and international initiatives.

4. Transport and Connectivity Infrastructure

- **Evidence:** 1033, 1041
- **Demand Type:**
- Knowledge of major ports and their distinguishing features.
- Understanding of key national and international connectivity projects.
- Ability to match infrastructure projects with their locations and purposes.

5. Rural and MSME Infrastructure Support

- **Evidence:** 7235, 1092
- **Demand Type:**
- Understanding of institutional objectives (e.g., KVIC) in rural infrastructure.
- Knowledge of MSME definitions and their access to financial infrastructure.
- Awareness of policy instruments supporting rural and small-scale sectors.

6. Environmental Standards and Infrastructure

- **Evidence:** 7167
- **Demand Type:**
- Recognition of eco-labeling and environmental standards as they relate to infrastructure and products.
- Understanding the intersection of infrastructure with environmental policy.

Logical Study Sequence

- 1 **Public Sector Undertakings (PSUs): Structure, Objectives, and Disinvestment**
- 2 **Rural and MSME Infrastructure Support**
- 3 **Environmental Standards and Infrastructure**
- 4 **Energy Infrastructure: Sources, Statistics, and Policy Initiatives**
- 5 **Infrastructure Project Identification and Features**
- 6 **Transport and Connectivity Infrastructure**

Implicit Concepts / Prerequisites

- Basic understanding of economic sectors (primary, secondary, tertiary).
- Familiarity with government ministries and their roles in infrastructure.
- Concepts of privatization, disinvestment, and public-private partnership.
- Knowledge of geography for mapping infrastructure projects.
- Understanding of economic policy instruments (e.g., priority sector lending).
- Awareness of international treaties and their impact on infrastructure.
- Fundamentals of environmental policy and sustainable development.

Adjacent Subtopics (Potential Future Demand)

- Urban infrastructure: Smart cities, urban transport, and housing.
- Digital infrastructure: Broadband, telecom, and digital public goods.
- Water and sanitation infrastructure.
- Logistics and supply chain infrastructure.
- Financing models for infrastructure (e.g., Infrastructure Investment Trusts).
- Disaster-resilient infrastructure.
- Social infrastructure: Education and health facilities.
- Regulatory frameworks for infrastructure development.

Notes

- The subtopic structure is derived strictly from the provided PYQs; some areas (e.g., digital or urban infrastructure) are not directly represented but are logical extensions.
- Some subtopics (e.g., environmental standards) are represented by a single PYQ, indicating limited but targeted demand.
- The map reflects both factual recall and conceptual understanding, with occasional application-based demand (e.g., matching projects to features).
- The sequence prioritizes foundational knowledge of PSUs and support institutions before moving to sectoral and project-specific infrastructure.
- If the PYQ set expands, further granularity (e.g., sector-wise infrastructure, deeper policy analysis) may become possible.

5. Investment Models

Tier: tier3 • Weightage: 1.0 • Total Qs: 0 • PYQs: 5 • Year span: 2014–2023 • Model: gpt-4.1 • Updated: 2026-01-07 14:04

TopicDemandMap: Indian Economy > Sectors of the Economy > Investment Models

Explicit Subtopics Tested

1. Venture Capital and Start-up Funding

- **Evidence:** [229]
- **Demand Type:** Tests understanding of the concept, purpose, and distinguishing features of venture capital as a form of investment, especially in the context of start-ups and entrepreneurship.

2. Capital Deepening

- **Evidence:** [7225]
- **Demand Type:** Assesses conceptual clarity on capital deepening, its definition, and implications for economic productivity and investment models.

3. Virtual Currencies as Investment Instruments

- **Evidence:** [7224]
- **Demand Type:** Requires knowledge of the nature, technology, and regulatory status of virtual currencies (e.g., Bitcoin) as alternative investment models.

4. Public vs. Private Investment in Research

- **Evidence:** [7223]

- **Demand Type:** Tests awareness of the roles and comparative trends of public and private sector investments in research, and the institutional landscape influencing investment models in R&D.

5. Intangible Investments

- **Evidence:** [1049]
- **Demand Type:** Examines the ability to identify and classify intangible assets (such as brand recognition, intellectual property) as forms of investment, and distinguish them from tangible investments.

Logical Study Sequence

1 Venture Capital and Start-up Funding

(Foundation: introduces investment models and risk capital)

1 Capital Deepening

(Builds on basic investment concepts, focusing on capital intensity)

1 Intangible Investments

(Extends understanding to non-physical forms of investment)

1 Public vs. Private Investment in Research

(Applies investment concepts to the R&D sector and institutional dynamics)

1 Virtual Currencies as Investment Instruments

(Advanced/adjacent: explores new-age, technology-driven investment models)

Implicit Concepts / Prerequisites

- Basic definitions: capital, investment, assets (tangible vs. intangible)
- Difference between public and private sector roles in the economy
- Understanding of financial instruments and innovation in investment
- Familiarity with economic terms: capital-output ratio, productivity
- Awareness of regulatory frameworks for new investment models (e.g., cryptocurrencies)
- Concept of risk and return in different investment models

Adjacent Subtopics (Potential Future Demand)

- Public-Private Partnership (PPP) models in investment
- Foreign Direct Investment (FDI) and Foreign Portfolio Investment (FPI) distinctions
- Crowdfunding and alternative finance mechanisms
- Social impact investing and ESG (Environmental, Social, Governance) models
- Regulatory approaches to emerging investment vehicles (e.g., digital assets, fintech platforms)
- Sector-specific investment models (e.g., infrastructure, agriculture)

Notes

- The PYQ sample is modest (5 questions), so the granularity of subtopics is limited.
- No direct questions on PPP, FDI/FPI, or sector-specific investment models were found in this set, though these are logical adjacent areas.
- The demand is conceptual and classification-oriented, with some application to current/innovative investment forms.
- The map reflects only the patterns visible in the provided PYQs, as per strict instructions.